

Business Ethics and Corporate Governance

Week 3: Ethical decision making frameowrk

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Intended learning outcomes

- Explain why structured ethical decision-making frameworks are necessary in business.
- Describe and apply Tucker's 5-Question Model to a business scenario.
- Describe and apply the AAA 7-Step Decision-Making Model to a professional ethics scenario.
- Critically compare the strengths and limitations of each framework.
- Connect these frameworks to broader normative ethical theories.



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OpenAI (2026a)



OpenAI (2026b)

Part 1

Why Do We Need Ethical Decision-Making Frameworks?



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The challenge



**How do you decide
what is “right” in business?**

Most rely on intuition, personal values,
and awareness of legal boundaries

Why intuition is not enough:

- Complex stakeholder relationships
- Legal obligations across jurisdictions
- Cultural and societal expectations.
- Environmental considerations.
- Cognitive biases distort judgement



Frameworks ensure we consider the right questions before we act (Crane et al., 2019)



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Normative foundations

TELEOLOGICAL (Consequentialist)

- Judges morality by the outcomes or consequences of actions.
- Key question: “Does this action produce the best overall results?”
- Examples: Utilitarianism, Ethical Egoism

DEONTOLOGICAL (Non-Consequentialist)

- Judges morality by adherence to rules, duties, or principles, regardless of outcome.
- Key question: “Is this action inherently right or wrong?”
- Examples: Kantian ethics, Rights-based theories



Tucker's 5-Question Model

Graham Tucker (1990) | Canadian Centre for Ethics & Corporate Policy



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The five questions

- **Is it profitable?** → Shareholder returns & financial viability.
- **Is it legal?** → Compliance with applicable laws & regulations.
- **Is it Fair?** → Equity across all stakeholders.
- **Is it right?** → Moral beliefs, conscience & ethical principles.
- **Is it sustainable?** → Long-term environmental responsibility



The sequential logic

Key Insight

Each question represents a widening circle of ethical consideration: from the firm, to the law, to society, to individual conscience, to the planet.



If all five answers are “Yes” → the decision is ethically sound



TUCKER CASE STUDY: SCENARIO 1

The Scenario: BigCorp – Developing Country Factory

A multinational plans to build a factory in a developing country. Low labour and land costs ensure profitability. The government has assisted with legal compliance. Local population eagerly awaits jobs and economic growth. Factory uses modern, low-emission technology on reclaimed brownfield land.

Profitable?	✓ Yes – Superior returns from lower costs
Legal?	✓ Yes – Government assisted compliance
Fair?	✓ Yes – All stakeholders supportive
Right?	✓ Yes – Brings jobs and economic growth
Sustainable?	✓ Yes – Low-emission tech, brownfield site



TUCKER CASE STUDY: SCENARIO 2



New Information Emerges

The “brownfield” site was a slum. The government forcibly displaced a vulnerable community considered “second-class citizens” who now have nowhere to live.

Profitable?	✓ Yes – Unchanged
Legal?	⚠ Questionable – Legal structures enable oppression
Fair?	✗ Contested – Economic benefits at cost of vulnerable community
Right?	✗ Contested – Rights of displaced vs. economic development
Sustainable?	✓ Environmentally yes – Socially questionable



Tucker’s model exposes ethical tensions – it does not resolve them



Discussion: Trump's Tariff

Over the weekend: President Trump says he will increase his new global tariffs to 15%.

- Apply Tucker's Five-Question Model to decide whether this is ethically right.]
- Is there any weakness in applying Tucker's Five-Question model?



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White House Press (2025)

The AAA: 7-Step Model



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AAA 7-step process

01. Establish the facts

Remove ambiguity

2

02. Identify ethical issues

Name the moral dilemma

3

03. Identify norms & values

Professional & social context

04. Identify alternatives

All options, unfiltered

05. Overlay norms on alternatives

Which options align?

06. Consider consequences

Evaluate outcomes for all

07. Make the decision

Final reasoned judgement

KEY FEATURES

- Systematic procedural approach
- Explicitly identifies norms & values
- Separates option generation from evaluation
- Assesses consequences for all parties
- Consistent with professional codes of ethics
- Primarily teleological with deontological elements
- Originally designed for accounting professionals



AAA CASE STUDY: SCENARIO

Auditor

An auditor discovers an irregular cash payment – suspected bribe. The client’s finance director gives an unsatisfactory explanation. The client then offers the auditor a substantial sum to overlook the payment. The amount would significantly improve the auditor’s personal wealth.

- | | |
|--------------------------|---|
| 1. Facts | Auditor found suspected bribe; was then offered a bribe to ignore it |
| 2. Ethical Issues | Should an auditor accept a bribe? Illegality + professional negligence |
| 3. Norms | Professional integrity, objectivity, independence, duty to shareholders |
| 4. Alternatives | Option A: Accept bribe Option B: Refuse and report |



AAA CASE STUDY: SCENARIO continued

5. Overlay Norms Option A violates all professional norms. Option B is fully consistent with integrity, objectivity, and legal requirements.

6. Consider consequences



Option A: Accept the Bribe

- Short-term wealth increase
- Risk of criminal prosecution
- Professional disciplinary action
- Permanent threat of exposure by client
- Must “live with” compromised integrity



Option B: Refuse and Report

- Maintains professional integrity
- Upholds public confidence in audit
- Serves shareholder interests
- Client relationship may be damaged
- Consequences for client could be severe



Step 7 Decision: OPTION B – Refuse the bribe and report





SHARED STRENGTHS

- Provide systematic structure to ethical reasoning
- Move decision-making beyond mere intuition
- Encourage recognition of ethical issues
- Draw on both teleological & deontological traditions
- Widely used in professional education & practice



SHARED LIMITATIONS

- Assume rational, deliberative decision-making
- Do not account for cognitive biases or time pressure
- Focus on individual, not collective decisions
- No guidance when criteria conflict with each other
- Cannot force ethical behaviour – only guide thinking



Best understood as complementary tools, not competing alternatives (Crane et al., 2019)